

WHAT ARE TAXES?

Taxes are what we pay to the government as rent for our citizenship. We use multiple government benefits, all public infrastructure and so on. Taxes are a means for the government to get the money to provide for such benefits.

DIRECT TAXES



It refers to that tax which is directly charged from your income or assets. This means whatever you earn in an year or whatever assets you have, the government charges a portion of it as taxes. Since it is directly charged from your income or assets, irrespective of how you intend to spend it, it is called direct taxes. Income Tax and Wealth tax are two examples of direct taxes.

INDIRECT TAXES



Indirect taxes are a bit different. They are charged at the time of consumption and not income. Whenever we buy a product or service, it has a tax component in it. In India, it has now been consolidated under GST (Goods and Services Tax). This tax is levied whenever we consume anything, irrespective of how much we earn or own.

Now let us review direct and indirect taxes from a financial planning perspective. There is not a lot that we can do about indirect taxes. However, direct taxes offer a lot of deductions and exemptions that we can take advantage of. So, going forward, we will only talk about direct taxes in our lazy financial canvas